Families First Act of 2027

Sources and Research Notes
Research cutoff: November 1, 2026

All sources were retrieved between October 31 and November 1, 2026, and are saved in the project's working/sources directory. "Preliminary" means HHS data that have not yet passed the annual data-reliability audits.

A. Statutes and regulations

1. Social Security Act § 458, 42 U.S.C. 658a (incentive payments to States). Office of the Law Revision Counsel (OLRC), U.S. Code current through Pub. L. 119-136 (Oct. 22, 2026). https://uscode.house.gov/us/usc/119-136/t42/s658a/ — The section amended by the bill. The OLRC source credit confirms that it is section 458 of the Act (formerly 458A, renumbered by Pub. L. 105-200, § 201(f)(2)(A)). It has not been amended since 1998.
2. Social Security Act § 455, 42 U.S.C. 655. Same OLRC edition (…/t42/s655/). — 66 percent federal match (subsection (a)(2)); bar on matching expenditures made from incentive funds (subsection (a)(1)); cross-reference to section 458(b)(4), (5)(B), and (6) in subsection (a)(4)(C)(iii).
3. Social Security Act §§ 452(a)(4), 452(g), 454(15)(B), 454(22), 409(a)(8), and 467; 42 U.S.C. 652, 654, 609, and 667 (same OLRC edition). — Data audits and transmission; pass-through of incentives to localities; performance penalties; State guidelines and the rebuttable presumption (section 467(b)(2)).
4. Child Support Performance and Incentive Act of 1998, Pub. L. 105-200, § 201, 112 Stat. 648 (July 16, 1998). — Created the current formula, effective October 1, 1999, and fully phased in for FY2002.
5. Deficit Reduction Act of 2005, Pub. L. 109-171, § 7309, effective October 1, 2007; American Recovery and Reinvestment Act of 2009, Pub. L. 111-5, § 2104 (FY2009–FY2010 exception). Statutory notes to 42 U.S.C. 655. — Use of incentives as State match.
6. 45 CFR part 305 (§§ 305.2, 305.31, 305.35, 305.61) and 45 CFR 303.11, eCFR current as of Oct. 29, 2026. https://www.ecfr.gov/current/title-45/part-305 — Regulatory formula, reinvestment, penalty measures (which do not include cost-effectiveness), and case-closure criteria.
7. HHS, Final Rule, "Child Support Enforcement Program; Incentive Payments, Audit Penalties," 65 Fed. Reg. 82178 (Dec. 27, 2000). https://www.govinfo.gov/content/pkg/FR-2000-12-27/pdf/00-32702.pdf

B. Program and fiscal data

8. HHS/ACF Office of Child Support Enforcement, FY 2025 Preliminary Data Report and Data Tables (notice Aug. 3, 2026; updated Oct. 2, 2026). https://acf.gov/sites/default/files/documents/ocse/FY_2025_Preliminary_Report.pdf and …/FY_2025_Preliminary_data_tables.xlsx — Table F (pool, FY2001–FY2025); Table P-38 (actual incentives: FY2023 national $678,795,663, Ohio $37,367,485); P-44 (federal share of administrative costs); P-14 (federal share of assistance collections); P-83 (current support due).

9. Same office, FY 2023 and FY 2022 Preliminary Data Tables, https://acf.gov/sites/default/files/documents/ocse/ (fy_2023_preliminary_data_tables.xlsx; fy_2022_preliminary_data_tables.xlsx). — FY2023 simulation inputs: P-4, P-6, P-7 (collections by assistance status); P-39 (performance levels, FY2023 and FY2022); P-42 (lines 2 and 2e); P-83 (line 24). The FY2022–FY2023 values match across later editions.

10. Dear Colleague Letter ACF-OCSS-DCL-25-12, "FY 2026 Incentive Payment Pool Amount" ($755,389,396), Dec. 1, 2025. https://acf.gov/ocse/policy-guidance/fy-2026-incentive-payment-pool-amount. Also DCL-24-14 (FY2025, $735,530,084; Dec. 10, 2024) and DCL-23-14 (FY2024, $713,414,242; Nov. 30, 2023).

11. ACF, Fiscal Year 2027 Justification of Estimates for Appropriations Committees (Apr. 2026). https://acf.gov/sites/default/files/documents/olab/FY-2027-Final-for-Web-4-3-26.pdf — Budget line for incentive payments; pool estimated at $775 million for FY2027.

12. Form OCSS-157 and instructions, OMB No. 0970-0177 (expires Mar. 31, 2028). https://acf.gov/sites/default/files/documents/ocse/omb_0970_0177_instructions.pdf — Definitions of lines 1, 2, 2c, 2e, 24, and 25. No line counts cases or months with current support owed.

13. U.S. Census Bureau, Current Population Survey Child Support Supplement, 2022 detailed tables (Table 2a: median annual amount due $4,816; mean $6,390; Table 2b: 14.3 percent due $10,000 or more). https://www.census.gov/data/tables/2022/demo/families/2022-cps-childsupport.html — Survey data covering all custodial parents, not only IV-D cases; used only to put the benchmark in context.

14. Census Bureau, P60-269, Custodial Mothers and Fathers and Their Child Support: 2017 (May 2020). https://www.census.gov/content/dam/Census/library/publications/2020/demo/p60-269.pdf

C. Congressional Research Service and drafting references

15. CRS, Child Support Enforcement: Program Basics, RS22380 (updated Jan. 12, 2026). https://crsreports.congress.gov/product/pdf/RS/RS22380

16. CRS, Child Support Enforcement Program Incentive Payments: Background and Policy Issues, RL34203 (May 2, 2013). https://crsreports.congress.gov/product/pdf/RL/RL34203 — History of the pre-1998 incentives (6 to 10 percent of collections under Pub. L. 98-378). The copy reviewed was obtained from a public mirror because the CRS site returned an access error; it should be checked against the CRS original.

17. House Office of the Legislative Counsel: Quick Guide to Legislative Drafting (rev. June 10, 2026); Introduction to Legislative Drafting (Jan. 13, 2025); Manual on Drafting Style (2022). https://legcounsel.house.gov/ — Used for the amendment format, "may not" usage, the omission of a purposes section, and the effective-date form.

18. Government Publishing Office, H.R. 2000 (118th Cong.), introduced print, BILLS-118hr2000ih. https://www.govinfo.gov/content/pkg/BILLS-118hr2000ih/pdf/BILLS-118hr2000ih.pdf — Typography reference for the bill: Century-style serif type, line numbers, US Letter.

D. Method notes

- Simulation: the current formula under section 458(b), including the improvement rules, was applied to all 54 jurisdictions using FY2023 preliminary data. Compared with actual FY2023 payments, the median absolute error is 8.8 percent and the maximum is 28.5 percent. Ohio's error is 1.5 percent. HHS uses audited data and adjustments that the published tables do not show.
- Case-months proxy: 12 × (line 2 − line 2e). This overstates the count for cases open part of the year and includes orders for no cash support (line 2c, unpublished).
- Scripts and outputs: working/scripts (simulate.py, analyze.py, model.py), working/sim_fy2023.json, and working/analysis_results.txt.

E. Uncertain or unverified matters

- Whether the federal incentive affects court order amounts, custody, or parenting time. No causal evidence was identified, and the package makes no such claim.
- Final (audited) data after FY2020, and actual incentive payments for FY2024 and FY2025, are not published.
- The budget-justification incentive line (e.g., $740.751 million for FY2026) differs from the DCL pool ($755.389 million). The reason is not explained in the documents reviewed.
- Line 24 counts voluntary payments as amounts due when no order exists. Regulations must align this with the bill's "owed" standard.
- How interstate cases appear in both States' counts under the new base.
- Whether section 455(a)(4)(C)(iii) (disbursement-unit penalty) still operates in practice. The conforming change preserves its effect either way.
- GAO report HEHS/GGD-97-14 on the pre-1998 incentive system was identified but not reviewed. No CBO estimate exists for this proposal.

F. Corrections to the preliminary drafts

- The preliminary bill amended "section 458A"; the section has been numbered 458 since 1998.
- Striking paragraphs (3) through (6) would have removed the data-reliability rule (paragraph (5)(B)) and broken the cross-reference in section 455(a)(4)(C)(iii). The revised draft amends only the collections base and the cost-effectiveness measure.
- A benchmark set by HHS at the 90th percentile of obligations would require case-level data that HHS does not collect. The revised draft uses a statutory, CPI-indexed amount.
- The purposes section and freestanding reporting section were removed (Legislative Counsel guidance), and publication was moved into section 458.
- The literal dollar-for-dollar reading is retained only as an analyzed alternative (about $60.5 billion a year at a $1,000 benchmark).